

THE MARGIN

FREE BREAKDOWN

The 7 Business Models That Print Money

...and the 3 that quietly kill good companies.

Everything in this guide is what the world's biggest companies do — stripped to the principle you can copy.

Built by The Margin

01

The Razor & Blades

Sell the handle cheap, get rich on the blades.

The money is not in the first sale. It is in the repeat purchase you made unavoidable. Printers, coffee pods, razors, game consoles. The first product is a toll booth, not a product.

THE TAKEAWAY

Takeaway: design something the customer must keep buying, then price the entry low.

Watch out:

Watch out: if the refill is commoditised, the model collapses.

02

The Landlord

Own the scarce asset, rent it out forever.

McDonald's does not sell burgers. It buys the land, leases it to the franchisee, and takes the rent. With almost none of the operational risk. Rent is paid before anyone else earns a cent.

THE TAKEAWAY

Takeaway: find the scarce asset everyone needs, own it, and charge for access.

Watch out:

Watch out: capital heavy — it only works at scale.

03

The Platform

Let others do the work, take a cut of everything.

Amazon's marketplace owns none of the sellers' inventory, yet takes a cut of every sale, plus fees, plus storage. You build the roads; everyone else pays the toll.

THE TAKEAWAY

Takeaway: build the marketplace, not the product.
Charge for access, not inventory.

Watch out:

Watch out: needs liquidity — no buyers means no sellers.

04

The Subscription Flywheel

Recurring revenue turns loyalty into an annuity.

Amazon Prime: you pay a yearly fee, so you shop more, so you get locked in, so you shop even more. Predictable revenue is worth far more than a one-off sale.

THE TAKEAWAY

Takeaway: convert one-off buyers into subscribers and let the loop compound.

Watch out:

Watch out: churn kills it — retention is the whole game.

05

The Infrastructure Play

Sell the picks and shovels, not the gold.

During a gold rush, the people who get rich are the ones selling shovels. AWS — Amazon's cloud — quietly produces the majority of the company's profit. It sells the infrastructure everyone else is forced to rent.

THE TAKEAWAY

Takeaway: supply the tool everyone needs during a boom instead of competing in it.

Watch out:

Watch out: extremely high margins attract ruthless competition.

06

The Advertising Engine

Attention in, cash out.

Google and Meta give away the product for free. You spend your time and data, and brands pay to interrupt you. Advertising is one of the highest-margin businesses ever built.

THE TAKEAWAY

Takeaway: if you own attention, you can monetise it without charging the user.

Watch out:

Watch out: entirely dependent on holding the audience's attention.

07

The Franchise

License the model instead of scaling it yourself.

Instead of opening a thousand restaurants, McDonald's sells the right to use its name and system. Someone else funds the growth and carries the risk; you collect royalties.

THE TAKEAWAY

Takeaway: if you have a proven system, sell the system before you sell more units.

Watch out:

Watch out: quality control — one bad franchisee damages the brand.

The 3 that quietly kill good companies.

A The One-Off Product

Every month starts at zero. No recurring revenue, no compounding — the treadmill never stops.

B The Race to the Bottom

Competing on price alone. Whoever is cheapest wins, and nobody makes money. Margin, not volume, is survival.

C Vanity Growth

Users, downloads, followers — and no profit. Growth that doesn't convert to cash is a hobby with a dashboard.

Want the next one before anyone else?

Every week I break down how another huge company really makes its money — the detail the press skips.

- One company, one business model, 2 minutes.
- The principle behind it you can actually use.
- No hype. No fluff. Just the mechanics.

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